

**DEPARTMENT OF THE ARMY
CLASS JUSTIFICATION AND APPROVAL
FOR OTHER THAN FULL AND OPEN COMPETITION**

- 1. Contracting Activity:** Army Contracting Command – Detroit Arsenal (ACC-DTA), is the contracting activity responsible for this action.
- 2. Description of Action:** ACC-DTA proposes to award a new five-year Firm Fixed Price (FFP) Requirements contract to General Dynamics Land Systems (GDLS), Sterling Heights, MI. To support this requirement, the Government proposes to award between two (2) and six (6) contract actions. For the first contract action, the Government intends to award the base contract and an order for an estimated 333 Maintenance and Training Module (MTM)/Squad Leader Display Version 3 (SLDv3) kits on an Undefinitized Contract Action (UCA). The second contract action will definitize the UCA and establish pricing for a five-year FFP Requirements contract for an estimated quantity of 1,000 MTM/SLDv3 kits. [REDACTED]

- a. The United States Army has an immediate requirement for an estimated 333 MTM/SLDv3 kits. Due to the urgent nature of the requirement, the Government anticipates issuing a UCA. Funding for the UCA will be placed on the first delivery order of the requirements contract. The following is an Independent Government Cost Estimate (IGCE) for the first contract action:

Table 1a – IGCE for First Contract Action

MTM/SLDv3 (\$K) 1000 Quantity	
Cost Element	FY25 (UCA)
Production Schedule	333
Production MTM/SLDv3	[REDACTED]
Rates & Fees	[REDACTED]
Transportation	[REDACTED]
Total Cost	\$25,928

- b. The remaining contract actions will definitize the estimated 333 MTM/SLDv3 kits the Government intends to acquire via the first contract action and establish pricing for Ordering Years One through Five under the requirements contract. Therefore, the estimated quantity of 667 will remain to be ordered via Ordering Years One through Five.

Table 1b – IGCE for Full Requirement

MTM/SLDv3 1000 Quantity						
Cost Element	FY25 (UCA)	FY26	FY27	FY28	FY29	Total
Production Quantity	■	■	■	■	■	1000
Production MTM/SLDv3	■	■	■	■	■	■
Rates & Fees	■	■	■	■	■	■
Transportation	■	■	■	■	■	■
Total Cost	■	■	■	■	■	\$80,647,000

- 3. Description of Supplies:** The purpose of this acquisition is to obtain MTM/SLDv3 kits to support replacement of the obsolete Vehicle Display Electronic Terminal (VDET), which upgrades the technology within the Double V-Hull A1 (DVHA1) vehicles to allow the ability to perform diagnostics, training, maintenance, and to provide the vehicle commander with control of electronic systems. The requirement consists of the following part numbers for the DVHA1 vehicle variants listed below:

PART NUMBER	VEHICLE VARIANT
LS1143013	Infantry Carrier Double V Hull Vehicle (ICVVA1), Engineer Squad Vehicle (ESVVA1) and Commander Variant Vehicle A1 (CVVA1)
LS1143014	Fire Support Vehicle (FSVVA1)
LS1143015	Mortar Carrier Double V Hull Vehicle (MCVVA1), Medical Evacuation Double V Hull Vehicle (MEVVA1)
LS1163496	Anti-Tank Guided Missile Double V Hull (ATVVA1)

The anticipated period of performance for this action is Fiscal Year (FY) 25-29. Based on the IGCE obtained on 20 November 2024, the total estimated cost for this procurement is \$80.6M for an estimated quantity of 1,000 MTM/SLDv3 kits.

- 4. Authority Cited:** The statutory authority permitting Other Than Full and Open Competition for this action is Title 10 United States Code (U.S.C.) 3204(a)(1), as implemented by Federal Acquisition Regulation (FAR) 6.302-1(a)(2)(ii), "Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements". Specifically, "Supplies may be deemed to be available only from the original source in the case of a follow-on contract for the continued development or production of a major system or highly specialized equipment, including major components thereof, when it is likely that award to any other source would result in (B) Unacceptable delays in fulfilling the agency's requirements."

5. **Reason for Authority Cited:** Award of this action on a sole source basis is necessary because the supplies required cannot be procured from sources other than GDLS without unacceptable delays. The Government does not have the pertinent rights to the technical data or the firmware to enable competitive re-procurement. [REDACTED]

[REDACTED] The Government reached out to GDLS on 24 September 2024 asking if GDLS would consider selling the rights for the MTM/SLDv3 kits to the Government. On 03 October 2024, GDLS responded that at present time, GDLS was [REDACTED]. GDLS is the only source capable of providing the MTM/SLDv3 kits described herein without unacceptable delays affecting the operational readiness of the Stryker Brigades.

- a. **Background:** The display in the VDET currently has a 19-month lead time for replacement, with [REDACTED] backorders. The current VDETs are sustained through the Repair and Overhaul (R/O) program; however, key components needed to sustain the VDET are obsolete. The Original Equipment Manufacturer, GDLS, attempted a last chance buy of the required materials in [REDACTED] to sustain the system, but the components were no longer available. The MTM/SLDv3 is the only existing replacement to continue supporting the Stryker platform and sustain the fleet. The MTM/SLDv3 supports the Stryker vehicles and other Programs of Record [REDACTED]

[REDACTED]. [REDACTED].
The [REDACTED] and supply stock concerns. The MTM/SLDv3 is in critical need to sustain the Stryker Family of Vehicles and adjacent shared programs utilizing the Stryker platform.

The MTM/SLDv3 kits will upgrade the technology within the DVHA1 vehicles to allow the ability to perform on-board diagnostics, training, and maintenance, while providing the vehicle commander with control of essential electronic systems. Due to the 23-month long lead time for production and delivery of the MTM/SLDv3 kits, the DVHA1 fleet [REDACTED]

[REDACTED] of the Project Management Office Stryker Brigade Combat Team (PMO SBCT) fleet.

The MTM/SLDv3 kit consists of the MTM/SLDv3 and the integration/installation kit. The MTM/SLDv3 was developed by GDLS. They are the only source capable of supplying the MTM/SLDv3 since they [REDACTED]

[REDACTED], to address the VDET obsolescence. Additionally, GDLS has the unique engineering

expertise and knowledge of the current configuration and standards required to produce the MTM/SLDv3 kits. The Government funded the integration/installation kit using Army Working Capital Funds. The integration/installation kit consists of mounts, bolts, brackets, and anything that is required to allow the base MTM/SLDv3 to be integrated onto the vehicle and operate with the existing vehicle software. The integration/installation effort also consisted of the service to ensure that the base MTM/SLDv3 system and the firmware, which were both developed by GDLS, was operational with the vehicle software.

The MTM/SLDv3 kits that are procured under this effort will be retrofitted onto Stryker DVHA1 vehicle platforms utilizing the existing Stryker Retrofit contract. It is anticipated that the retrofit schedule is approximately 40 MTM/SLDv3 kits per month. The MTM/SLDv3 kits installation must begin [REDACTED] to meet [REDACTED] fielding timelines.

Table 2 – Fielding Schedule

Brigade	Kit Delivery	Install Window
[REDACTED]	[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]	[REDACTED]

As of September 2024, GDLS stated that there is a 23-month production lead time for material procurement and kitting, before deliveries commence. The production quantity is up to 28 MTM/SLDv3 kits per month. The first contract action for 333 MTM/SLDv3 kits must be awarded no later than January 2025 in order to meet the required initial fielding with rolling fielding's thereafter.

- b. Unacceptable Delay:** An award to another source other than GDLS for the MTM/SLDv3 kit would result in an unacceptable delay. Based on current Stryker Logistics and Engineering estimates, it would take approximately 101 months to hold a competitive acquisition for the MTM/SLDv3 kits. This timeframe was determined by using historical data on similar kits, and comparing material and design lead times, testing, and acquisition lead times. Table 3 below shows the estimated competitive procurement timeline:

Table 3 – Competitive Procurement

Event	Months
Reverse Engineering	
Hardware Development/Certification	24
Firmware/Software Development	24
TDP Development	12 (completed concurrently)
Total Reverse Engineering	48
Source Selection Evaluation Board (SSEB)	6
Prototype Build and Kitting	23
First Article Test (FAT)	12
ATEC Safety Confirmation Testing	12
Total	101

- i. Reverse Engineering: Based on reverse engineering estimated timelines of similar kits, it is estimated that reverse engineering of the MTM/SLDv3 kits would take a minimum of 48 months. This estimate is due to the time it takes to reverse engineer each item and the Interface Control Document required for Engineering Change Proposal to be developed. The development would consist of two aspects: Hardware MTM/SLDv3 kit and Firmware development. Within the 48 months identified above, a minimum of twelve (12) months is needed to create a competitive TDP.

- a. MTM/SLDv3 kit hardware development would require meeting Department of Defense development quality standards, establishing system level hardware requirements, installation requirements, development, testing, qualification requirements. Design shall meet Nuclear, Biological survivability standards, including hydro testing. Due to the glass display screen, additional safety requirements need to be met to ensure the glass does not shatter or explode due to blast impacts. The developed display would then require blast testing clearance to meet survivability requirements. The installation kit would have to be developed and tested to ensure that the MTM/SLDv3 can be installed and function with the existing vehicle software.

- i. Hardware development: Approximately 14 months to capture the existing components, develop new technical drawings and prototype replacement hardware, and develop or procure alternative hardware.

- ii. Hardware certification: Approximately 10 months to test

reverse engineered components through hydro testing, survivability, reliability testing and TDP review and release.

- b. Firmware development: Based on similar development efforts it would take approximately 24 months to develop the operational firmware. Firmware would have to be compatible with the existing vehicle software. The Government is restricted from sharing GDLS's proprietary firmware data, resulting in the requirement to develop new vehicle firmware. Firmware development would result in an additional 24-month development delay, as it would have to be developed and tested to ensure that the kit can be operational with the already existing vehicle software.
 - i. Firmware: Approximately 14 months to develop firmware needed to integrate software. Development consists of coding and Cyber security control integration.
 - ii. Software compatibility: Approximately 10 months to integrate vehicle software with new firmware, including four (4) months to conduct regression testing and lab-based testing.
- c. TDP: Development and validation will take approximately 12 months which consists of computer-aided designs, Elementary Wiring Diagram development, vendor source drawing identifications, power analysis reports, Military Standard compliance reports, environmental standard specification reports, and development/production step by step processes. Development involves reviewing the developed drawings for accuracy, markings, and distribution statements, and uploading the drawings into Windchill and validation of the TDP. TDP development and validation would run concurrently with hardware and firmware development.
- ii. SSEB: Based on similar acquisitions, there is a minimum of six (6) months required for a source selection evaluation.
- iii. Prototype Build and Kitting: Based on GDLS's procurement lead times for parts and kitting, it would take 21 months to manufacture all necessary parts to be able to produce the first MTM/SLDv3 kit and two (2) months for kitting (which consists of assembling the MTM/SLDv3 kit components, harness, and packaging) for the First Article Test.

- iv. First Article Testing (FAT): A minimum of 12 months is needed to complete the FAT, assuming successful performance. An unsuccessful FAT would cause additional delay. The FAT testing consists of a FAT Report, delivery and Government approval of the FAT Report and completing validation. Validation includes setting up new vehicle methods, documentation, and facilities to conduct the validation activity. The Government conducts validation to ensure that the MTM/SLDv3 kits will operate and perform as intended.
- v. ATEC Safety Testing: Prototype kits will require government safety testing on the platform. Systems will require Electromagnetic Interference (EMI), Electromagnetic Compatibility (EMC) testing, vehicle performance testing, grounds and bonds testing leading to an eventual safety confirmation prior to full rate production approval. It will take approximately 12 months to complete the testing and receive a Safety Confirmation form Army Test and Evaluation Command (ATEC).
- vi. Production: Once the FAT is approved, then the contractor can order production quantities, which would begin the 23-month production lead time. These delays would make the earliest kit delivery date in 2033 (competitive procurement and [REDACTED] not meeting the fielding windows starting [REDACTED] thru [REDACTED].

The delays outlined above would impact operational readiness, as units would not have the requisite displays and capabilities to support their missions. Stryker vehicles are NMC without the legacy display or the new MTM/SLDv3 kit. Vehicles that are NMC are not able to be fielded, which will result in a lack of vehicle availability, degrade readiness of the unit, and will effect the safety of the soldiers. The procurement of MTM/SLDv3 kits from GDLS will allow the Government to continue obtaining the required components to support a Fully Mission Capable (FMC) vehicle.

If the Government were to pursue a competitive acquisition of the MTM/SLDv3 kits, the competitive acquisition would cause an unacceptable delay, reduce warfighter readiness and disrupt vehicle fielding schedules.

6. Efforts to Obtain Competition:

- a. Effective Competition: The Government will not compete this effort for the reasons stated above in section 5. Synopsis is required and will be posted to the Government point of entry (SAM.gov) per the statutory requirements of FAR 5.201. Any proposals received will be considered.
- b. Subcontracting Competition: A small business subcontracting plan is required in accordance with FAR 19.702, as GDLS is a large business. To encourage competition at the subcontractor level, the contract will contain all the required FAR and Defense Federal Acquisition Regulation

Supplement (DFARS) subcontracting clauses.

7. **Action to Increase Competition:** Although no further action to increase competition is contemplated at this time, the Government will continue to survey the marketplace and review the acquisition strategy, along with continuing efforts to obtain a Specifically Negotiated License, if an additional requirement for the MTM/SLDv3 kits beyond 2030 arises. Any information received will be considered to determine if a competitive acquisition should be conducted or to determine potential future requirements.
8. **Market Research:** The Government has surveyed the market through a Sources Sought Notice and searched for potential suppliers to enable competition of this action. The Government issued a Sources Sought on SAM.gov from 03 October 2024 to 10 October 2024. The Sources Sought notice included questions related to experience with production and/or upgrades of ground combat vehicles, experience with United States Army Command, Control, Communication, Computers, Cyber, Intelligence, Surveillance and Reconnaissance Center systems, experience with production of MTM/SLDv3 kits or similar kits, production rate, lead time for deliveries, facilities/tools and equipment used, International Organization for Standardization certification, capability to track components in inventory, experience working with Defense Contract Management Agency, experience in handling/storing/accounting for encryption data devices/hardware, and conducting root cause analysis to determine failure modes and fault isolation when required.
 - a. The following firms responded to the Sources Sought:
 - i. BHPE, LLC., (CAGE: 9SW57)
 - ii. OREADY, LLC., (CAGE: 89KZ9)

Summary of Market Research: A total of two incomplete responses were received.

BHPE, LLC. – BHPE, LLC was not fully responsive. They stated that they were an interested vendor but failed to address key elements of the Sources Sought Notice, particularly how they would accomplish the requirements without access to the technical data or, alternatively, how they might obtain access to the technical data. BHPE, LLC. did not respond to any of the questions listed within the Sources Sought Notice. The BHPE, LLC submission is not considered as capable of meeting the requirements of this contract action because no support was provided to note that the company has the required experience to meet the requirement or access to technical data owned by GDLS and required to produce the MTM/SLDv3 kits.

OREADY, LLC. - OREADY, LLC was not fully responsive and failed to respond timely. Their response was received after the deadline, and it stated that they are interested should it become a fully competitive solicitation. They failed to address

key elements of the Sources Sought notice, particularly how they would accomplish the requirements without access to the technical data or, alternatively, how they might obtain access to the technical data. OREADY, LLC. did not respond to any of the questions listed within the Sources Sought Notice. The OREADY, LLC submission is not considered as capable of meeting the requirements of this contract action because no support was provided to note that the company has the required experience to meet the requirement or access to technical data owned by GDLS and required to produce the MTM/SLDv3 kits.

Based on the results of the Sources Sought Notice neither company can provide the required MTM/SLDv3 kits.

FAR Subpart 10.002(b)(2)(iv) recommends querying the Government-wide database of contracts, which may be used by other agencies. PMO SBCT and ACC-DTA performed searches, between September and October 2024. Internet searches were performed using the Google search engine with the following terms: "Maintenance Training Module," "Squad Leader Display version 3," "Maintenance Training Module/Squad Leader Display version 3", and the Kit Part Numbers, which include "LS1143013, LS1143014, LS1143015, and LS1163496." The same search terms were used on WebFLIS, LOGSA, www.contractdirectory.gov/contractdirectory/, and FED LOG databases to determine if there are any existing contracts or sources of supply which could satisfy this requirement. No contracts or other sources of supply were found under any of the search criteria for parts or included spare/repair components.

9. Interested Sources: To date, no other sources except as described in section 8 above have expressed an interest in this acquisition.

10. Other Facts:

a. Procurement History:

i. PMO SBCT Production Contract:

1. Contract W56HZV-20-D-0005, Stryker Production MTM/SLDv3 Cut-In, was awarded on 23 August 2023 via Contract Modification P00010.
2. Sole-Source to GDLS.
3. 10 USC 3204(a)(1), FAR 6.302-1(a)(2)(iii)(B), "Only One Responsible Source."
4. The Government is not contemplating further competition for the MTM/SLDv3 requirement. GDLS is the developer, integrator and manufacturer of the MTM/SLDv3 and is the only practical source that can provide the technical and logistical support.
5. N/A, no prior contract for this requirement was accomplished using full and open competition.
6. No unusual patterns were noted.
7. No significant changes were identified from the prior J&A.

11. Technical Certification: I certify that the supporting data under my cognizance, which is included in the above justification, is accurate and complete to the best of my knowledge and belief.

Name: Mr. Adam Sims	Date: 12 January 2025
Title: Director of Logistics, PEO GCS, PMO SBCT	Signature: //s// Adam Sims

12. Requirements Certification: I certify that the supporting data under my cognizance, which are included in the justification, are accurate and complete to the best of my knowledge and belief.

Name: Mr. Adam Sims	Date: 12 January 2025
Title: Director of Logistics, PEO GCS, PMO SBCT	Signature: //s// Adam Sims

13. Fair and Reasonable Determination: I hereby determine that the anticipated cost for this contract action will be fair and reasonable. A cost analysis will be performed to determine fair and reasonableness. Cost and pricing data will be required per DFARS 215.403-1.

Name: Marta Furman	Date: 13 January 2025
Title: Procurement Contracting Officer	Signature: //s// Marta Furman

14. Contracting Officer Certification: I certify that this justification is accurate and complete to the best of my knowledge and belief:

Name: Marta Furman	Date: 13 January 2025
Title: Procurement Contracting Officer	Signature: //s// Marta Furman

APPROVAL

Based on the foregoing justification, and as Senior Contracting Official pursuant to Army Material Command Head of the Contracting Activity Delegation of Authority #25-02, I hereby approve the procurement of MTM/SLDv3 kits. This procurement will be awarded on other than full and open competition basis pursuant to the authority of Title 10 U.S.C. Section 3204(a)(1), as implemented by Federal Acquisition Regulation (FAR) 6.302-1(a)(2)(ii)(B), "Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements" The total estimated value for this action \$80.6M, and is approved subject to the availability of funds, and provided the services herein described have otherwise been authorized for acquisition.

X

John D. Jolokai
Senior Contracting Official